improve relations. They resolved some problems that continued to be irritants, such as the US holding of a significant quantity of rupees. They also established an annual bilateral dialogue and agreed to focus on scientific, cultural, and education cooperation.[21]

The US and India also tried to deal with other irritants in a measured manner. Other priorities and less sentimentality in the relationship aided this approach. American officials appreciated that, at a time when there seemed to be a growing global north-south divide, Indian officials behaved in a relatively moderate manner in multilateral settings. The US government, in turn, reacted to the Indian nuclear test of May 1974 in a relatively "low key" manner. The administration publicly expressed its regret and went along with congressional calls to vote against some multilateral loans to India. Privately, Kissinger told Gandhi that the US did not accept Indian explanations that India had only conducted a peaceful nuclear explosion. Nevertheless, he assured her that the administration was "not interested in recriminations but in how to prevent further proliferation."

Despite calls within and outside the administration to punish India heavily, Kissinger instructed officials not to make heated statements or take too many punitive actions. He told the Pakistani foreign minister that India was signaling China rather than using the bomb to threaten Pakistan. He did not think vitriol would change the situation or Indian imperatives.[22] India, on its part, joined the US in underplaying the significance of the test.[23] The US government also followed a "hands-off" approach when India took over Sikkim in April 1975, even though American officials realized that greater comment or involvement on their part would please China and Pakistan.[24] Then, when Gandhi declared emergency rule in June 1975, overall the administration's response was tempered.[25]

For both sides, the task of cooling tempers was also made easier by the fact that some past irritants in the relationship were less of a problem. Once the US signed the Paris peace accords in 1973 and withdrew from Vietnam in 1975, a key source of difference faded. US government involvement in the Indian economy kept declining.[26] The US still indirectly assisted India through its contributions to multilateral agencies, but bilateral economic assistance had significantly decreased. This meant that Washington was no longer strongly expressing its views on the right balance between India's